IN THE NATIONAL COMPANY LAW TRIBUNAL

BENGALURU BENCH

C.P (CAA) No. 74/BB/2017

U/S 230 to 232 of the Companies Act, 2013

Order Delivered on: 12th April, 2018

IN THE MATTER OF SCHEME OF AMALGAMATION

BETWEEN

MICROGENESIS TECHSOFT PRIVATE LIMITED

AND

QUEDGE SOFTWARE SOLUTIONS PRIVATE LIMITED

Coram: 1. Hon'ble Shri Ratakonda Murali, Member (Judicial)

2. Hon'ble Shri Ashok Kumar Mishra, Member (Technical)

MicroGenesis TechSoft Private Limited
No. 3001, 5th Cross, 12 A Main,
HAL 2nd Stage, Indiranagar
Bangalore-560008 - **Petitioner Company No.1/Transferee Company**

QuEdge Software Solutions Private Limited
No.3001, 1st Floor, 5th Cross,
12 A Main, HAL 2nd Stage, Indiranagar
Bangalore-560008 **-Petitioner Company No.2/Transferor Company**

Parties Present : 1) Mr. V. Karthick
Advocate for the Petitioner Companies

2) Mrs. Sinchana M.R, Advocate
Representative for the Registrar of Companies & Regional Director

Per: Hon'ble Shri Ratakonda Murali, Member (Judicial) – **Author**

Heard on: 09.11.2017, 22.12.2017, 23.01.2018, 8.02.2018, 7.03.2018, 22.03.2018

ORDER

The Company Petition was filed on behalf of the Petitioner Companies under Section 230 and 232 of the Companies Act, 2013 praying to order for sanctioning the Scheme of Amalgamation whereby QuEdge Software Solutions Private Limited (Petitioner Company No.2/ Transferor Company) being merged with MicroGenesis TechSoft Private Limited (Petitioner Company No.1/Transferee Company) so has to be binding on all the Shareholders and the secured and unsecured creditors, employees and all other relevant parties of the Petitioner Companies.

The averments made in the Company Petitions are briefly described hereunder:-

The Petitioner Companies seek an order for sanctioning the Scheme of Amalgamation of QuEdge Software Solutions Private Limited (Petitioner Company No.2 / Transferor Company) with MicroGenesis TechsSoft Private Limited (Petitioner Company No.1/Transferee Company). The Scheme of Amalgamation is shown as **Annexure A**.

The Petitioner Company No.1/ Transferee Company was incorporated on 20th December, 2004 under the name and style as **'MicroGenesis TechSoft Private Limited'** having its Registered office at No.3001, 5th Cross, 12th A Main HAL 2nd stage, Indiranagar, Bangalore-560008 and obtained Certificate of Incorporation vide bearing CIN No. U72200KA2004PTC043011.

The Petitioner Company No.1/Transferee Company's Objects as set out in its Memorandum of Association is "To carry on in India or else where, the business of producing, manufacturing, developing, making, distributing, buying, selling, importing, exporting and otherwise dealing in all kinds of softwares and computer related activities to provide technical consultancy services, maintenance and testing of software and hardware.".

The Copy of the Memorandum & Articles of Association of the Petitioner Company No.1/Transferee Company is shown in **Annexure B.**

Authorised share capital of the Petitioner Company No.1/Transferee Company as stated in the petition is Rs. 1,00,00,000/- divided in to 10,00,000 equity share of Rs, 10/- each and issued subscribed and paid up share capital of Rs.58,00,000/- divided in to 5,80,000 equity shares of Rs.10/- each fully paid up.

The Copy of Audited Financials of the Petitioner Company No.1/Transferee Company as on 31st March, 2016 is shown in **Annexure D.**

The Petitioner Company No. 2/Transferor Company was incorporated on 2nd November, 2004 as a Private Limited Company under the name and style as QuEdge Software Private Limited. The Registered office of the Transferor Company is situated at No.3001, 1st Floor, 5th Cross, 12th A Main, HAL 2nd stage, Indiranagar, Bangalore-560008.

The Transferor Company's Objects as set out in its Memorandum of Association inter alia, as follows:

i. To carry on in India or elsewhere, the business of producing, manufacturing, developing, making, distributing, buying, selling, importing, exporting and otherwise dealing in all kinds of softwares and computer related activities to provide technical consultancy services, maintenance and testing of softwares and hardware.

The Copy of Certificate of Incorporation, Memorandum & Articles of Association of the Petitioner Company No. 2/Transferor Company is shown in **Annexure C.**

Authorized share capital of the Petitioner Company No. 2/Transferor Company as stated in the petition is Rs. 5,00,000/- divided in to 5000 equity share of Rs. 100/- each and issued subscribed and paid up share capital of Rs. 5,00,000/- divided in to 5000 equity shares of Rs.100/- each.

The Copy of Audited Financials of the Petitioner Company No. 2/Transferor Company as on 31st March, 2016 is shown in **Annexure E.**

The Board of Directors of the Petitioner Company No. 1/Transferee Company and Petitioner Company No. 2/Transferor Company have approved and adopted the Scheme of Amalgamation at their respective meetings held on 15th March, 2017. The copies of Board Resolutions are shown in **ANNEXURE – G.**

That the Petitioner Company No.1/Transferee Company & Petitioner Company No.2/Transferor Company had filed Company Application No.(CAA) 36/BB/2017 before this Tribunal for dispensation of the meetings of Equity shareholders of the Petitioner

Companies. The Copy of the Order of this Tribunal in (CAA) No.36/BB/2017 is shown as **Annexure- K.**

This Tribunal vide order dated 9th November, 2017 directed the Petitioner Companies to issue Notice to Regional Director, Ministry of Corporate Affairs, South-East Region, Register of Companies, Income Tax Authorities and Official Liquidator, and also to have an advertisement of Notice of Petition be carried out in the '**The Hindu**', an English daily Newspaper and '**Kannada Prabha**' a Kannada daily Newspaper and stating the next date of hearing was on 22nd December, 2017.

In pursuant to the same the Counsel for the Petitioner Companies has filed an affidavit **dated 21st December, 2017** of the authorized signatory of the Petitioner Company for having taken paper publication as directed and also has furnished the copy of the paper publication for having taken Advertisement in '**The Hindu**', an English daily Newspaper and '**Kannada Prabha**' a Kannada daily Newspaper.

The Registrar of Companies, Karnataka, Bangalore vide letter no's. ROCB/ Legal/CAA-3/2017-18 dated 14th November, 2017 making some observations:

i. Transferee Company does not have secured creditors as on 27-3-2017, hence did not convene meetings of secured creditors. However Transferee company on 30.3.2017 has created a charge of Rs.3,45,00,000 and it is pending as on date.

The Counsel for Petitioner Companies has filed a memo in reply to Registrar of Companies dated 5th February, 2018 and stated that the Petitioner Company No. 1/Transferee Company i.e., MicroGenesis TechSoft Private Limited on 30.3.2017 has created a charge of Rs.3,45,00,000 and it is pending as on date. The Counsel submitted No Objection Certificate from Axis Bank Limited. The NOC from AXIS Bank is shown as Annexure-1 to the memo dated 5th February, 2018.

The Regional Director, Ministry of Corporate Affairs, South-East Region has filed affidavit dated 12th January, 2018 wherein he has stated that the Tribunal may dispose off the petition on merits.

On the prayer made by the Official Liquidator in OLR no. 199/17 in CP (CAA) 74/BB/2017, vide order dated 22nd December, 2017 M/s. U.C. Bhandari & Co., Chartered Accountants was appointed to scrutinize the Books of Accounts and records of Petitioner Company No.2/Transferor Company. Upon Scrutiny of Books, records and other material made available by the Transferor Company to M/s. U.C. Bhandari & Co, Chartered Accountants submitted the report.

Pursuant to the same, the Official Liquidator has filed a Report dated 9th March, 2018 in OLR.No.40/2018 stating that M/s. U.C. Bhandari & Co, Chartered Accountants has submitted Report dated 7th March, 2018 which is marked as **Annexure A,** wherein the Chartered Accountant has concluded in his report which is as follows:

i.) We have obtained all the information and explanation, which to the best our knowledge and belief were necessary for the purpose of scrutiny of books and papers of Transferor Company.

ii.) In our opinion proper books of accounts, papers, statutory registers, minutes and other related records as required by law have been kept by the Transferor Company so far as appears from our examination of those books and records".

iii.) On scrutiny of books of accounts, papers, statutory registers and other related records of the company we are of the opinion that the affairs of the company have not been conducted in a manner prejudicial to the interest of the members of the Company or public interest.

The Counsel for the Petitioner Company No.2/Transferor Company has filed copy of Accounting Treatment Certificate **dated 20th March, 2017** of the Auditor stating that "Based on our examination and according to the information and explanations given to us we are of the opinion that the accounting treatment contained in the aforesaid Scheme is in compliance with the applicable Accounting Standard notified by the Central Government under the Companies Act, 2013. The Auditors Certificate on Accounting Treatment is shown as **Annexure-I**.

After hearing the Counsel for the Petitioner Companies and considering the materials on record the Scheme appears to be fair, reasonable and is not detrimental against the Members or Creditors or contrary to public policy and the same can be approved.

THIS TRIBUNAL DO FURTHER ORDER

While Approving the Scheme, we make clear that this order should not be construed as an order in any way granting exemption from payment of Stamp Duty, taxes or any other charges, if any, and payment in accordance with law or in respect to any permission/compliance with any other requirement which may be specially required under any law.

The Whole of the property, rights and powers of the Petitioner Company No.2/Transferor Company be transferred without further act or deed to the Petitioner Company No.1/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and vest in the transferee company for all the state and interest of the Petitioner Company No.2/Transferor Company therein but subject nevertheless to all the charges now affecting the same; and

All the liabilities including taxes and charges, if any, and duties of the Petitioner Company No.2/Transferor Company be transferred without further act or deed to the Petitioner Company No.1/Transferee Company and accordingly the same shall pursuant to section 232 of the Companies Act, 2013, be transferred to and become the liabilities and duties of the Petitioner Company No.1/Transferee Company; and

The tax implications, if any, arising out of the scheme is subject to final decision of Concerned Tax Authorities and the decision of the Concerned Tax Authorities shall be binding.

All the proceedings now pending by or against the Petitioner Company No.2/Transferor Company be continued by or against the Petitioner Company No.1/Transferee Company, if any; and

The Petitioner Companies shall within thirty days of the date of the receipt of this order cause a certified copy of this order along with a copy of scheme of Amalgamation to

be delivered to the Registrar of Companies for registration in accordance with Rule 25 (7) of Companies (Compromises, Arrangements & Amalgamations) Rules, 2016.

The Scheme shall be effective from the appointed date as mentioned in the Scheme of Amalgamation i.e. 1st April, 2016.

The Transferor Company or its Authorized Signatories are directed that after the completion of the process of Amalgamation to handover the possession of the Books of Accounts and other relevant documents of the Petitioner Company No.2/Transferor Company to the Petitioner Company No.1/Transferee Company for the purpose of section 239 of the Companies Act, 2013.

Any person is at the liberty to apply to the Tribunal in the above matter for any directions that may be necessary.

12/4/18

(ASHOK KUMAR MISHRA)
MEMBER, TECHNICAL

12/4/18

(RATAKONDA MURALI)
MEMBER, JUDICIAL

39

937

NATIONAL COMPANY LAW TRIBUNAL
BENGALURU BENCH
COURT NO.1

ATTENDANCE CUM ORDER SHEET OF THE HEARING OF NATIONAL COMPANY LAW TRIBUNAL, BENGALURU BENCH, BENGALURU, HELD ON 12.04.2018.

PRESENT: 1. Hon'ble Member(J) **Shri Ratakonda Murali**
2.Hon'ble Member (T) **Dr. Ashok Kumar Mishra**

CP/CA No	Purpose	Section	Name of Petitioner	Petitioner Advocate	Name of Respondent	Respondent Advocate
CP(CAA)No.74/BB/2017	For orders	230/232	MicrogenesisTechsoftPvt. Ltd. & Another	V. Karthick, PCS		Smt Prema Hatti ROC & RD

SL. NO.	NAME (IN CAPITAL) & PHONE NUMBER	REPRESENTATION TO WHOM	SIGNATURE
1.	V. KARTHICK 9900097271	Both petitioners	VKarthick

ORDER

Order will be passed vide separate Order

MEMBER(T) **MEMBER(J)**